Black Swans and Investment Returns

Daily swings in market returns have *nothing* to do with the long-term accretion of investment values. In fact, while there have been numerous black swans in our short-term-oriented and speculative financial markets, there have been *no* black swans in the long-term investment returns generated by U.S. stocks. Why? Because businesses—as a group—employ capital effectively, reacting to and often anticipating changes in the productive economy of manufactured goods and consumer services. Yes, for better or for worse, we are faced with cyclical swings in our economy, periodic recessions, and even rare depressions. But American capitalism has demonstrated remarkable resilience, plugging along steadily even as times change, driving growth in earnings and paying dividends that have risen apace over time, in step with our growing economy.

Nonetheless, there has always existed the serious risk that speculation in our flighty financial economy (emotions) might spread its contamination to our over-productive business economy (enterprise). The great U.S. economist Hyman Minsky dedicated much of his career to his financial instability hypothesis—"stability leads to instability"—which he summed up profoundly:

> *Financial markets will not only respond to profit-driven demands of business leaders and individual investors but also as a result of the profit-seeking entrepreneurialism of financial firms. Nowhere are evolution, change, and Schumpeterian entrepreneurship*[8] *more evident than in banking and finance, and nowhere is the drive for profits more clearly the factor making for change.*

Long before the creation of the recent wave of complex financial products, Minsky observed that the financial system is particularly prone to innovation. He noted the symbiotic relationship between finance and industrial development, in which "financial evolution plays a crucial role in the dynamic patterns of the economy." When